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Zoetis, Inc. (ZTS)

Q2 2014 Earnings Call

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MANAGEMENT DISCUSSION SECTION

Operator: Welcome to the Second Quarter 2014 Financial Results Conference Call and Webcast for Zoetis. Hosting the call today is John O'Connor, Acting Head of Investor Relations for Zoetis.

The presentation materials and additional financial tables are currently posted on the Investor Relations section of zoetis.com. The presentation slides can be managed by you, the viewer, and will not be forwarded automatically. In addition, a replay of this call will be available approximately two hours after the conclusion of this call via dial-in or on the Investor Relations section of zoetis.com. At this time all participants have been placed in a listen-only mode and the floor will be opened for your questions following the presentation. [Operator Instructions]

It is now my pleasure to turn the floor over to John O'Connor. John, you may begin.

John O'Connor
Investor Relations Officer, Zoetis, Inc.

Thank you, operator. Good morning and welcome to the Zoetis' second quarter 2014 earnings call. I'm joined today by Juan Ramón Alaix, our Chief Executive Officer; and Glenn David, our Senior Vice President of Finance Operations and Acting Chief Financial Officer. Juan Ramón and Glenn will provide an overview of our quarterly results and then we will open the call for your questions.

Before we begin let me remind you that the earnings press release and financial tables can be found on the Investor Relations section of zoetis.com. We are also providing a simultaneous webcast of this morning's call which can be accessed on the website as well. A PDF version of today's slides and a transcript of the call will be available on the website later today.

Our remarks today will include forward-looking statements and actual results could differ materially from those projections. For a list and description of certain factors that could cause results to differ, I refer you to the forward-looking statement in today's press release and our SEC filings including our recent 10-K and 10-Qs.

Our remarks today will also include references to certain financial measures which were not prepared in accordance with generally accepted accounting principles or U.S. GAAP. These non-GAAP adjusted figures exclude the impact of purchase accounting adjustments, acquisition-related costs and certain significant items such as the non-recurring costs of becoming a standalone public company. A reconciliation of these non-GAAP financial measures to the most directly comparable U.S. GAAP measures is included in the financial tables that accompany our earnings press release and in the company's 8-K filing dated today, August 5, 2014.

We also cite operational results which exclude the impact of foreign exchange. I also want to remind you that beginning last quarter, we realigned our segment reporting with respect to our Client Supply Services organization or CSS, which provides contract manufacturing services for third parties. The revenue and earnings associated with CSS are now reported within other business activities, separate from the four reportable segments. In 2013 CSS results were reported in the EuAfME segment.

With that I will turn the call over to Juan Ramón.

Juan Ramón Alaix

Chief Executive Officer & Director, Zoetis, Inc.

Thank you, John. And thank you to those joining us for today's call. I would like to start by sharing high level details of our performance for the second quarter.

During this period we delivered operational growth of 6% in revenues and 11% in adjusted net income or adjusted diluted EPS of \$0.38. We also delivered operational revenue growth across each of our geographical segments in the quarter, reflecting the strength and balance of our diverse portfolio.

These illustrate that our continued focus on building strong customer relationships, bringing new products to the market, while managing product life cycles, and producing high quality products and reliability of supply, all remain fundamental strengths of our business model.

Let me now comment on the performance of our business by its species. The performance of our Livestock segment grew by 9%. Here we see more favorable market conditions for many of our customers across the globe. Overall, worldwide demand for meat protein continues increasing, especially in emerging markets. In these markets, the objective is to increase our local production but to meet their needs they still depend on key export markets such as the U.S. and Brazil, where we also have a significant presence.

Additionally feed cost continued to moderate for our customers. Nevertheless, conditions do remain difficult for some producers in certain markets in Asia-Pacific and in Europe, and factors such as disease outbreaks and climate conditions are placing some limitations on how quickly our customers can expand their protein production. These conditions reinforce the value of our medicines and technology for more efficient production. As producers work to supply greater volumes of meat-protein by increasing their cattle and swine slaughter

weights, we expect to see continued strong demand for our products. Our global presence and breadth of portfolio positions Zoetis well to capitalize on these positive trends.

Let me take a deeper dive into some of these individual species, starting with cattle, which grew 10% operationally. We deliver strong growth in all regions, most notably in the Canada and Latin American region, where we implemented new pricing strategies in a number of Latin American countries. Poultry delivered operational growth of 11%. All regions contributed to this but particularly the U.S. where sales of our medicated feed additives and also vaccines delivered double-digit growth.

In swine, PEDv has continued to spread, not only in the U.S. but also in Canada, Mexico, Japan and a number of other countries. The virus is reducing the size of swine herds and producers are working to offset these reductions by raising higher weight animals.

Additionally, our business has felt the impact of antibiotic regulations in Europe. In spite of these conditions, Zoetis still deliver very strong growth of 5% in swine, thanks to introduction of new products.

Moving now on to Companion Animal, we delivered 2% operational growth in the quarter. Sales of our canine product APOQUEL contributed to the growth in this sector, even as we continue to address our levels of supply for this product. I will talk a little bit more about APOQUEL later on this call.

Overall, while growth fundamentals for Companion Animal remains strong in all countries and particularly in emerging markets, we have seen an increase in competition in many of our larger developed markets. It is primarily from new product introduction in parasiticides and in vaccines. We are confident that the breadth of our portfolio including new product launches, as well as the strength of our field force and our world class capabilities in R&D, will enable us to stay competitive in this market.

Across our business we continue to see that the depth and the diversity of our portfolio plays a critical role in the overall performance of our company and also sustains our competitive advantage. The depth and diversity is demonstrated by our portfolio for multiple species across five therapeutic areas and by the 300 products marketed in 120 countries. As a result of this quarter's performance and our forecast for the rest of the year, we are increasing the lower end of our guidance range for revenue, adjusted EPS and SG&A for the full year.

Now I would like to provide an update on our portfolio and in particular highlight our R&D progress and the latest for APOQUEL. Earlier I spoke about the impact of PEDv on our business. Now let me share with you some details of the progress that we are making on developing a vaccine for this disease, where we have two programs. Our most advanced program is for an inactivated, or killed, vaccine. On this we are working closely with the USDA and expect to request approval for a conditional license in 2014. Following any approval we anticipate that we will be able to supply the market very soon after.

We also continued our work with Iowa State University on an additional vaccine approach. We are making good progress and will provide updates of this program as the research evolves.

Finally, we continue working with the University of Minnesota for a PEDv diagnostic test, and this type of test will help producers to rapidly identify potential infections in their herds. The results from this research program could also have applicability outside of the U.S. We are exploring regulatory approaches to enhance the reach of these potential products in other affected markets.

This quarter, we secured regulatory approval and launched ACTOGAIN. These are ractopamine product for the use in cattle, alone or in combination with other commonly used medicated feed additives; this in addition to our

already strong cattle portfolio. The approval of ACTOGAIN builds on the success of the launch of ENGAIN, also a ractopamine product, which was approved and recently launched for use in swine. Both ACTOGAIN and ENGAIN are performing better than expected. This performance is in part driven by the removal of a competing product from the market.

And finally, to our progress with APOQUEL; as you will remember, this is an innovative medicine designed to relieve dogs from pruritus. We launched the product in the U.S. and in a number of European markets earlier this year and have seen significant levels of customer demand for the product. This has resulted in a supply shortage. Our priorities at this point are to ensure that dogs currently being treated with APOQUEL continue to receive the product without interruption and to normalize the product supply as soon as possible.

As noted on our last call, the process to produce APOQUEL is complex. We are working to reduce the length of time it takes to manufacture the product and to add manufacturing capacity. By April next year we expect to significantly increase the supply of APOQUEL and as a result we'll be able to begin offering APOQUEL to new customers. Based on our current market demand, the introduction of the product in new markets, and our plans to increase supply, we now expect the product to generate in excess of \$100 million in revenues next year.

And before I ask Glenn to walk us through the financials, I would like to highlight our coming Investor Day. This will take place on November 18 at the New York Stock Exchange. We are very excited to be able to host this event and look forward to having the opportunity to share with you more details of our strategy, capabilities, and value propositions, as well as the overall animal health industry. And with that, Glenn?

Glenn David

Senior Vice President of Finance Operations and Acting Chief Financial Officer, Zoetis, Inc.

Thank you, Juan Ramón. Let me start today with a review of the second quarter results and then discuss our guidance for full year 2014.

Turning first to the income statement slide. For the second quarter, revenue was approximately \$1.2 billion, an increase of 4% year-over-year. Foreign exchange had a negative impact of 2 percentage points on revenue, primarily due to the impact of currencies in Brazil, Australia, Argentina and Canada, which were partially offset by improvements in the euro and sterling. As a result, operational growth, excluding the impact of currency, was 6%.

Reported net income was \$136 million, or \$0.27 per diluted share, and adjusted net income was \$189 million, or \$0.38 per diluted share, representing growth of 6% on a reported basis and 11% operationally. Adjusted net income for the quarter excludes the after-tax impact of \$53 million, or \$0.11 per diluted share for purchase accounting adjustments, acquisition-related costs, and certain significant items, the majority of which were related to stand-up costs.

Certain significant items this quarter also include a one-time charge related to a commercial settlement with customers in Mexico. This settlement is with several of our large Poultry customers in Mexico. It is associated with certain shipments from specific lots of poultry vaccine products, and we have moved ahead with a recall of these lots. No other countries or lots are impacted. We have recorded a reserve associated with this issue in the second quarter of \$13 million. I will discuss the impact of this settlement on our reported guidance in a few minutes.

Let's now turn to our adjusted income statement slide, which I will discuss primarily on an operational basis. Again, operational revenue growth for the second quarter was 6%. In terms of the first half of the year, we reported revenue growth of 2% with operational growth of 5%. This reflects an impact on reported revenue of

approximately \$55 million due to foreign exchange. Based on current rates, we expect the impact from foreign exchange for the remaining two quarters will be minimal.

Turning to more revenue details on the second quarter, Companion Animal sales were 38% of sales in the quarter and grew \$7 million, or 2% operationally. Livestock sales were 61% of sales in the quarter and grew \$57 million, or 9% operationally. Adjusted cost of sales grew operationally by 4%, 2 points lower than operational sales growth.

Adjusted cost of sales was 35% of revenue versus 35.9% in the year-ago quarter, due to the favorable impact of foreign exchange and the benefit of price increases, which were partially offset by unfavorable mix. For the first half of the year our adjusted cost of sales grew operationally by 1% and was 34.6% of revenue.

As we said last quarter, we continue to expect our cost of sales to increase as a percent of revenue in the remaining quarters, and bring us in line with the full-year guidance of approximately 35.5% which we are reaffirming today. This dynamic reflects the recognition of additional costs from building a global manufacturing and supply organization, which will be most evident in the second half of the year, as well as our expectation that foreign exchange will not have as favorable an impact on gross margin as it did in the first half of the year.

Meanwhile, adjusted SG&A increased by 9% operationally in the second quarter. As we have said, in the first two quarters of 2013, we were still building out many of the corporate functions needed to support Zoetis as an independent public company. We largely completed this process in the third quarter of last year, and this unfavorable comparison is a driver of SG&A growth in the second quarter of 2014.

We also saw elevated growth in operating expenses in the U.S., EuAFME and CLAR segments in the quarter as well. As part of our normal course of business, we continue to adjust investments in promotional activities to respond to market opportunities.

Year-to-date, SG&A was 30.6% of revenue, consistent with our full year guidance, which is approximately 31% at the midpoints of both SG&A and revenue.

In other items, adjusted R&D expense increased 1% operationally. Interest expense declined \$3 million in the quarter. And adjusted other income was \$3 million in the quarter, similar to last year. Our effective adjusted tax rate for the second quarter was 28.4%, and again, our adjusted net income was \$189 million, representing reported growth of 6% and operational growth of 11%.

Now on to our segment results; I will discuss these on an operational basis, but it should be noted that segment earnings are pre-tax numbers and presented on an adjusted basis. I will also highlight some of the more significant foreign exchange impacts in the regional results.

Beginning with the U.S., second quarter revenue was \$459 million, an increase of 5%. Sales of livestock products grew 10%, with contributions across cattle, poultry, and swine. Cattle products showed a significant increase based on improved market conditions from the year-ago quarter. Cattle prices have continued to rise, with feed costs remaining low. While we have seen the number of placements declining, customers are placing younger, lighter animals into feed lots, and these cattle are more vulnerable to illness and disease and require treatment. This dynamic, along with continued growth in market share, has contributed to growth in our U.S. cattle business despite lower overall placements in the quarter.

We saw poultry product growth driven by new vaccines, such as the Georgia 08 vaccine as well as growth in medicated feed additives, and in swine products we benefited from continued growth in new products, such as our

PCV/M. hyo combination vaccine, Draxxin 25 anti-infective, and ENGAIN feed additive. This new product momentum was tempered by the effect of PEDv, which Juan Ramón addressed.

Sales of companion animal products grew 1%. This was driven by sales of APOQUEL, which was partially offset by declines from an increased competition in vaccines and RIMADYL. Meanwhile, U.S. segment earnings increased by 2% as growth in revenue was offset by higher expenses, primarily due to promotional investments. For the first half of the year in the U.S., we had revenue growth of 5% and earnings growth of 10%. This is more indicative of the leverage that we expect in the U.S. than the second quarter results.

Now turning to our Europe, Africa, and Middle East region, or EuAfME; in EuAfME second quarter revenue was \$284 million, an increase of 4% operationally. Reported revenue growth was 7%, reflected a positive impact of 3 percentage points in the quarter due to the strength of the Euro and Sterling. Sales of livestock products increased 5% operationally as the region experienced more positive results in Germany, the U.K. and Spain than in the first quarter, but this was slightly offset by declines in France. The livestock growth was primarily driven by increased sales in cattle and poultry products, which were slightly offset by a decline in swine products for the quarter. While weather conditions across Europe were generally more favorable than the prior year, growth in livestock was limited in the U.K. and Scandinavia by severe flooding, which affected seasonal herd movements.

Meanwhile, sales of companion animal products grew 2% operationally, primarily due to sales of APOQUEL in the U.K. and Germany and growth in emerging markets. This companion animal growth was somewhat offset by declines in France and Southern Europe due to increased competition in parasiticides. EuAfME segment earnings increased 9% operationally, primarily due to the revenue increase and higher gross margins, which were partially offset by higher operating expenses.

Turning to our Canada and Latin America segment, or CLAR; second quarter revenue was \$214 million, an increase of 11% operationally. Reported revenue growth was flat, reflecting a negative impact of 11 percentage points in the quarter primarily due to depreciation of currencies in Brazil, Argentina and Canada. Overall for the segment, sales of livestock products grew 13% operationally and sales of companion animal products grew 6% operationally.

The CLAR segment results were largely driven by the region's two largest markets, Brazil and Canada, while price growth for livestock products in high inflation markets such as Venezuela and Argentina also made significant contributions to growth in the quarter. In Brazil, growth was driven primarily by sales of cattle and poultry products as well as companion animal products. Meanwhile, the company generated increased sales of cattle products in Canada as higher prices for cattle led to increased treatments.

Canada also saw an increase in sales of swine products, such as anti-infectives and vaccines, while it posted a slight decline in poultry products. CLAR segment earnings increased 16% on an operational basis, driven by revenue growing at a faster rate than operating expenses.

In Asia Pacific, or APAC, second quarter sales were \$185 million, an increase of 5% operationally. Our APAC segment also felt a significant impact due to depreciation from currencies in Australia, Japan, India and other countries, which led to a negative 6 percentage point impact on revenue. Sales of livestock products grew 7% operationally driven primarily by sales of cattle products in New Zealand and Australia, growth of swine products in China, and growth of poultry products in Australia and India. This growth was offset by declines in Japan and Korea. In Australia, we saw an increase in the movement of herds to feed lots, which benefited our business as treatments increased. However, climate conditions remain difficult, and we expect the higher feed lot activity to lead to reduced herd sizes in the coming quarters.

Sales of companion animal products increased 1% operationally, largely due to an increase in equine products in Australia, which was offset by declines in companion animal products in Japan. APAC segment operating earnings increased 11% operationally due to revenue growth, a decline in operating expenses, and slightly favorable gross margin.

Now let me turn to guidance for the full-year 2014. We have now reported one-half of the fiscal year and remain confident in our ability to deliver on our full-year financial guidance. As a result, we are narrowing our financial guidance for revenue, adjusted SG&A, and adjusted EPS for full-year 2014 and making an adjustment to our reported EPS guidance. We have raised the lower end of our revenue guidance and now expect reported revenue of approximately \$4.675 billion to \$4.75 billion for the full year.

Our guidance on adjusted cost of goods sold for full-year 2014 remains approximately 35.5% of revenue, roughly flat year-over-year. This reflects the anticipated benefit of price, volume and ongoing cost savings efforts, which is forecasted to be offset by the full-year impact of costs incurred to build our global manufacturing and supply functions as well as unfavorable mix. The incremental costs will be reflected primarily in the second half of 2014.

Adjusted SG&A expenses are now expected to be between \$1.44 billion and \$1.48 billion. Adjusted R&D expenses are expected to be between \$390 million and \$405 million. We continue to expect our effective tax rate on adjusted income to be approximately 29%. This guidance does not reflect the potential extension of the U.S. R&D tax credit. And we have raised the lower end of our adjusted EPS guidance and now expect adjusted EPS of between \$1.50 and \$1.54 per share for the full year. Please note that our guidance does not reflect any further currency devaluation in Venezuela.

This guidance reflects our ability to achieve our profitability targets as we absorb multiple headwinds in 2014, including the incremental cost of standing up our global manufacturing and supply operations, unfavorable comparisons in corporate function expense, and an additional month of higher interest expense.

Separately, we now estimate pre-tax charges for 2014 of between \$175 million and \$195 million, primarily related to stand-up and acquisition-related costs. This range has increased due to the commercial settlement charge related to Mexico that I mentioned earlier. These charges are excluded from our adjusted earnings guidance. Including the impact of these items, as well as purchase accounting adjustments, our guidance for reported diluted EPS for full-year 2014 will now be between \$1.16 and \$1.20 per share, a change from the \$1.15 to \$1.21 range we had previously set.

This annual guidance reflects our confidence in the diversity of our portfolio, the strength of our business model, and our view of the evolving market conditions for animal health products this year. Our long-term value proposition remains anchored in three objectives: to grow revenue in line with or faster than the market; to grow adjusted net income faster than revenue; and to find investment opportunities with strong returns to our business and return excess capital to our shareholders.

That concludes my prepared remarks, and now we will open the line for your questions. John?

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John O'Connor
Investor Relations Officer, Zoetis, Inc.

Thank you, Glenn. Operator, first question, please?

QUESTION AND ANSWER SECTION

Operator: The floor is now open for questions. [Operator Instructions] Our first question comes from Alex Arfaei with BMO Capital Markets.

Alex Arfaei

Analyst, BMO Capital Markets (United States)

Q

Good morning. Thank you for taking the questions. First on your PEDv vaccine, will you have a competitive advantage in getting this vaccine to market? If you could just give us a better sense as to where the competitors are and what kind of commercial opportunity are we looking at. And a quick follow-up if I may, I'm not sure if I understood the remarks correctly on APOQUEL; did I hear you correctly in saying that you expect to have supply to the market – increased supply to the market later this year, or is it still a 2015 expectation? Thank you.

Juan Ramón Alaix

Chief Executive Officer & Director, Zoetis, Inc.

A

Thank you, Alex. It's Juan Ramón Alaix. Let me start confirming that for APOQUEL we expect to normalize supply next year in April. And at that time we'll be able to supply more product to new customers.

On the first question on PEDv, so we have a program now that we expect to complete soon and to submit to the FDA a conditional – a license for conditional approval. And there is one vaccine already in the market covering this disease and we expect that our vaccine also will cover the needs of swine producers to protect animals against this outbreak that is having a significant impact in their herds.

John O'Connor

Investor Relations Officer, Zoetis, Inc.

A

Operator, next question, please.

Operator: Certainly. We'll next go to Mark Schoenebaum with ISI Group. Your line is open.

Mark J. Schoenebaum

Analyst, International Strategy & Investment Group LLC

Q

Oh, hey, guys. Thanks for taking my question. I really appreciate it, and good job on communication and everything this quarter. It's been great. My question on the business is maybe on use of cash, if I may. In your last slide where you kind of sum up the three big priorities, I suppose, for the next five years, the last one is find profitable investment opportunities and return excess capital to shareholders, so I was wondering – we haven't seen a lot of M&A yet at Zoetis, so I'm wondering why that is and if we should expect the pace to pick up. And then the follow-up on that is the dividend – I don't think we've seen much of a dividend raise since you guys have spun out of Pfizer. So I was wondering just philosophically, if you could talk to us and maybe help set expectations for what we should expect about the rate of dividend increases. Thank you.

Juan Ramón Alaix

Chief Executive Officer & Director, Zoetis, Inc.

A

Thank you, Mark. On the first question on M&A, so in 2013 that was the first year of Zoetis as an independent company, we were focused on standing up our operations and then we decided that maybe it was not the right

time for us to consider M&A activity. We are, now that we have in most of the cases completed our infrastructure with the exception of IT, we think that we can now consider M&A opportunity that the market brings to us. And we'll be actively pursuing these opportunities. We know that because of our size and our market share we may face some challenges in terms of anti-trust. We will incorporate it in our analysis but definitely we will consider any opportunity that will match our strategic objective and also will provide the return on the investment.

Glenn David

Senior Vice President of Finance Operations and Acting Chief Financial Officer, Zoetis, Inc.

A

And Mark, related to your question on dividends – so to-date we have increased our dividends, and subject to board approval we do expect to grow the dividend at a rate that is equal to or faster than our growth in adjusted net income.

John O'Connor

Investor Relations Officer, Zoetis, Inc.

A

Operator, next question, please.

Operator: Certainly. We'll take a question now from Chris Schott with JPMorgan. Your line is open.

Jessica M. Fye

Analyst, JPMorgan Securities LLC

Q

Hey there. It's Jessica Fye on for Chris. Question on gross margin, just as we start thinking about next year; can you just remind us how much of your manufacturing Pfizer still does and how we should think about the impact of that? I think there's a manufacturing royalty kicking in for the product they supply you with next year. And then maybe also just following up on Mark's question on M&A, we're seeing a number of tax inversion transactions across the space and just would love to hear your views on whether that would be of interest to Zoetis. Thanks.

Juan Ramón Alaix

Chief Executive Officer & Director, Zoetis, Inc.

A

So in terms of M&A also these tax inversion opportunities, we will continue exploring any opportunity that will provide reduction in terms of effective tax rate, something that definitely we will see the opportunities that exist in the market. And we will decide based on these opportunities. On the gross margin, I will ask Glenn to respond to your question.

Glenn David

Senior Vice President of Finance Operations and Acting Chief Financial Officer, Zoetis, Inc.

A

So in terms of gross margin for 2015 and specifically to the impact of the Pfizer MSA, so when we looked at the potential impact of the Pfizer MSA that it might have in 2015, based on 2013 costs and volumes, we expected it to have about a \$30 million negative impact on cost of goods going into 2015. We've taken a lot of actions to minimize that impact and those actions have resulted in reducing that exposure by about half. However since then a number of those products, APOQUEL being one of them, have had growth in volume. So it will limit on our ability to bring the \$30 million down fully but we have taken many actions to minimize the impact.

John O'Connor

Investor Relations Officer, Zoetis, Inc.

A

Operator, next question, please.

Operator: Certainly. Our next question comes from Kevin Ellich with Piper Jaffray. Your line is open.

Kevin K. Ellich

Analyst, Piper Jaffray & Co (Broker)

Hi. Good morning. Thanks for taking the questions. First off, we've seen some pretty strong livestock trends especially in the U.S. Just wondering if you can keep up the high single-digit, low double-digit growth in the U.S.? And then second, regarding your operating costs you have a direct sales model especially in the U.S. Just wondering if there is any ability for you guys to leverage the operating costs by maybe weighing on distributors and using some of the national distributors more to minimize or drive some more leverage in the model? Thanks.

Juan Ramón Alaix

Chief Executive Officer & Director, Zoetis, Inc.

Thank you, Kevin. On the performance on livestock, definitely on the second quarter we reported very strong growth. We see that the demand for animal proteins remain very strong in worldwide markets. We also see that the profitability of livestock producers is now very high. They have high prices of meat, low prices for input which increase significantly the profitability and this is also driving the willingness of livestock producers to increase their herd to supply all the market demand. We don't see any change in the near future so we expect that the livestock market will continue growing in the future.

In terms of our direct sales model, so we are convinced that the demand-generation model that we have, which means that our own field force and also our own group of veterinarians are interacting directly with customers, and this interaction, it's generating very strong demand and very strong support to our portfolio. In the U.S. we combine our direct efforts with partnership with distributors for those customers that we don't have the reach because of economical conditions, and we see that this model is working very well, and we will continue supporting our product portfolio through this direct interaction, and also with a combination and partnership with some of our distributors that will reach these smaller customers.

John O'Connor

Investor Relations Officer, Zoetis, Inc.

Operator, next question, please.

Operator: Certainly. Our next question comes from Louise Chen with Guggenheim. Your line is open.

Louise A. Chen

Analyst, Guggenheim Securities LLC

Hi. Thanks for taking my question. I appreciate it. So first question I had was on SG&A leverage. What is your ideal level of SG&A leverage and when do you expect to get there after you finish this Pfizer separation? And then second question I had was we've seen a number of development stage companion animal health companies starting up. I'm just curious your thoughts on the unmet needs that these companies address and if there's potential partnership opportunities here. Thank you.

Glenn David

Senior Vice President of Finance Operations and Acting Chief Financial Officer, Zoetis, Inc.

So, this is Glenn, I'll address the SG&A question. In terms of the SG&A leverage, so the way we think about this is in 2014 in particular, we have indicated that we do have incremental expenses related to building up our corporate functions, and that is increasing the level of growth we expect in SG&A this year. However, over the long term we

do expect to grow SG&A in line with inflation while being able to grow our revenue at a pace faster than the market, which will continue to improve our margins going forward.

Juan Ramón Alaix

Chief Executive Officer & Director, Zoetis, Inc.

A

Okay, the other question was about these biopharma companies and potential partnerships. Well, I think we have already the infrastructure, also the reach to customers, and we have developed over time very strong model in terms of direct sales to customers. And we are convinced that this model also can benefit smaller companies that we have, maybe, products, that will be covering unmet needs in the market but without infrastructure to reach their customers. So we'll consider this kind of a partnership with these companies.

John O'Connor

Investor Relations Officer, Zoetis, Inc.

A

Operator, next question please.

Operator: Our next question comes from John Kreger with William Blair. Your line is now open.

John C. Kreger

Analyst, William Blair & Co. LLC

Q

Hi. Thanks very much. I think you mentioned on the call that your parasiticide class within Companion Animal saw some pressure in the quarter. Can you just expand on that a little bit? Did it actually decline, and if so, maybe you could quantify it? And do you have anything in your pipeline that might cause this trend to be a little reversed in the coming year or so?

Juan Ramón Alaix

Chief Executive Officer & Director, Zoetis, Inc.

A

Well, our parasiticide franchise in Companion Animal didn't decline in the quarter, but the growth was affected by the entrance of new competitors. There have been two new competitors launching new parasiticides, oral parasiticides, and we have seen that the market dynamics in parasiticides are changing and moving from the traditional parasiticides that were topical to more attention to oral parasiticides. We also have programs in this area and we expect to launch these products, oral parasiticides for companion animal in the future.

John O'Connor

Investor Relations Officer, Zoetis, Inc.

A

Operator, next question please.

Operator: Our next question comes from Robert Willoughby with Bank of America. Your line is open.

Erin E. Wilson

Analyst, Bank of America Merrill Lynch

Q

Hi. This is Erin Wilson in for Bob. Follow-up to the SG&A expense question and the leverage of that metric going forward. What can be addressed or corrected near-term or can be considered one-time in nature? And outside of some of those items, can you call out where you have made progress on this front? Is it related to your separation from Pfizer? And I guess the second question then similar would be can you just speak to the competition in U.S. companion animal in light of the increased promotional spending that you've called out, why is it such a light trend in companion animal?

Glenn David

Senior Vice President of Finance Operations and Acting Chief Financial Officer, Zoetis, Inc.

A

Sure. So in terms of the SG&A and items that might be considered one-time in nature, I think the key item is what we've been highlighting in terms of the build-up of our corporate enabling functions and the timing of which that ramped up and when those costs were most evident in the P&L. So in 2013 in the first half of the year, we were not running at our full cost base for our enabling functions and that corrected in the second half and that's driving the difficulty in comparison year-over-year.

Some of the areas that you have seen significant improvement though year-over-year, I think when you look at the growth in our regions and our segments, you've seen very strong IBT growth or income growth in those regions, demonstrating continued focus on our expenses.

Juan Ramón Alaix

Chief Executive Officer & Director, Zoetis, Inc.

A

Maybe a comment on the competition in the U.S. and also details on the promotional activities that we conduct in the second quarter. Definitely as I said during my remarks and also the remarks of Glenn, we have seen introduction of new parasiticides, also the introduction of new vaccines and the interaction of generic competition to a product which is important in our portfolio, which is RIMADYL. And in terms of the original investment in promotional activities in the quarter, I think it's only a question of phasing. If you take year-to-date, you will see that the investment in the year has been in line with our projections of growing promotion activities below the growth in terms of revenues.

John O'Connor

Investor Relations Officer, Zoetis, Inc.

A

Operator, next question please.

Operator: Our next question comes from Jami Rubin with Goldman Sachs. Your line is now open.

Christopher J. Benassi

Analyst, Goldman Sachs & Co.

Q

Hi there, and good morning. This is Christopher Benassi on behalf of Jami Rubin with Goldman Sachs. Since the IPO, investors have believed in the story of continued improvement in Zoetis' margins. However, we are curious as to where you might see room for further margin improvement, possibly in SG&A, R&D, or maybe even across the board?

Glenn David

Senior Vice President of Finance Operations and Acting Chief Financial Officer, Zoetis, Inc.

A

Thank you for the question. In terms of where we see continuing improvement, so R&D, I think, is one item that you've highlighted. We've seen growth in R&D that's been sort of in the low single digits, while we still continue to be very effective with our R&D productivity. From an SG&A perspective as well as a cost of goods perspective, we do continue to see areas for improvement. So as I mentioned, SG&A we do expect to grow in line with inflation, and cost of goods we're clearly focused on continuing to find areas to improve our cost of goods and expect incremental improvements in COGs going forward.

John O'Connor

Investor Relations Officer, Zoetis, Inc.

A

Operator, next question please.

Operator: Our next question comes from Ross Taylor with C.L. King. Your line is open.

Ross Taylor

Analyst, C.L. King & Associates, Inc.

Hi. I just had a couple questions related to the PEDv vaccine you have in development, but for a conditional approval, what kind of efficacy data do you have to present to the regulators to receive a conditional approval? And I also wondered how much does the conditional approval limit appeal or uptake of this product once it does reach the market?

Juan Ramón Alaix

Chief Executive Officer & Director, Zoetis, Inc.

Thank you for the question. So in terms of the regulatory requirements for conditional approval for a vaccine, so we need to demonstrate safety of the vaccine and also efficacy in certain conditions. And the requirements for efficacy for a conditional license are lower than the efficacy requirements for a full license.

In terms of the selling opportunities of a vaccine under conditional approval, I think it's something that since the vaccine in this case will be responding to a real market need, we don't see that this will create any limitations. There will be some limitations in terms of promotional activities, but not limitations in terms of selling the product to the market.

John O'Connor

Investor Relations Officer, Zoetis, Inc.

Operator, next question please.

Operator: We now have a follow-up from Kevin Ellich with Piper Jaffray. Your line is now open.

Kevin K. Ellich

Analyst, Piper Jaffray & Co (Broker)

Following up on the PEDv comments, just wondering, Juan Ramón, in your prepared remarks you talked about how hog farmers are growing larger animals, even though we've seen, I guess, some pressure on the herd sizes. Just wondering if your new product ENGAIN is helping to – you've seen some good uptake because of this, if you could quantify that also. And then Glenn David, the tax rate was lower on a year-over-year basis, just wondering what we could expect. And I also wanted to clarify; did you say your tax guidance does not include the R&D tax credits?

Juan Ramón Alaix

Chief Executive Officer & Director, Zoetis, Inc.

Thank you, Kevin, for the question, the follow-up question on PEDv. So definitely ENGAIN, it's helping producers to have more efficiency in terms of food, so they are reaching peak efficiencies because of this product. This product is also a product that already existed in the market, it's ractopamine, and we think that the product that already existed in the market together with ENGAIN is helping the producers to achieve their targeted weight with lower cost in terms of food.

Glenn David

Senior Vice President of Finance Operations and Acting Chief Financial Officer, Zoetis, Inc.

A

And in terms of the tax rate, so the tax rate was lower in the quarter, at 28.4%. We have reaffirmed our guidance of approximately 29% for the year, and we still believe the full year is the best view of our overall tax rate. And just to emphasize, that does not include the R&D tax credit, which would lower our rate by approximately 50 basis points.

John O'Connor

Investor Relations Officer, Zoetis, Inc.

A

Operator, next question please.

Operator: Next we have a follow-up from Robert Willoughby with Bank of America. Your line is open.

Erin E. Wilson

Analyst, Bank of America Merrill Lynch

Q

Hi. This is Erin again. A quick follow-up; there's been some recent changes or recently-announced upcoming changes in the Companion Animal Diagnostics market in the U.S. with Idexx Laboratories moving to a direct-distribution model. Do you see this as an opportunity for you? And just generally speaking, what is your underlying growth rate for your Diagnostics business? Thanks.

Juan Ramón Alaix

Chief Executive Officer & Director, Zoetis, Inc.

A

So we remain committed to Diagnostics, and we see Diagnostics as very complementary to our current business in both R&D and also Commercial, and we are trying to build our portfolio in terms of Diagnostics. And the change on Idexx in terms of a direct model, it's something that we'll not comment on the strategy of our competitors but definitely we'll explore any opportunity that will further penetrate our diagnostic tests into the market.

John O'Connor

Investor Relations Officer, Zoetis, Inc.

A

Operator, next question, please.

Operator: [Operator Instructions] We will now go to a follow-up from Alex Arfaei with BMO Capital Markets. Your line is open.

Alex Arfaei

Analyst, BMO Capital Markets (United States)

Q

Great. Thank you very much for taking a follow-up. Sorry if you addressed this earlier, I had to hop off for a minute, but what can we expect for your November Investor Day, if you could just frame that for us? Can we look for something like a five-year outlook? If you could just give us more color as to what we can see from you. Thank you.

Juan Ramón Alaix

Chief Executive Officer & Director, Zoetis, Inc.

A

So we are working on the details of the agenda that we'll communicate to you in the near future. So one of the objectives that we have during this day is to provide much more details on our strategy, also have the opportunity

to provide this information in terms of commercial, in terms of manufacturing, in terms of R&D from members of my leadership team that will go into some details that maybe has not been provided until now. And in terms of the outlook, we are considering what should be the details that we will provide in terms of the outlook, and we are still considering different time frames; that will be the information that we'll be sharing with you at that time.

The other objective is also to go into some additional details on the Animal Health market, to have much more clarity in terms of projections of the market and also the opportunities for both Livestock and Companion Animal.

John O'Connor
Investor Relations Officer, Zoetis, Inc.

A

Operator, are there any other questions?

Operator: At this time there are no additional – one – there are no additional phone questions.

Juan Ramón Alaix
Chief Executive Officer & Director, Zoetis, Inc.

Well, with that, thank you very much for joining us today. Thank you very much for your interest in Zoetis. And I look forward for more interactions with you, definitely to see you at our Investor Day on November 18. Thank you very much.

Operator: Thank you. This does conclude today's teleconference. A replay of today's call will be available in two hours by dialing 1-800-374-1216 for U.S. listeners, and 402-220-0681 for international. Please disconnect your lines at this time and have a wonderful day.

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